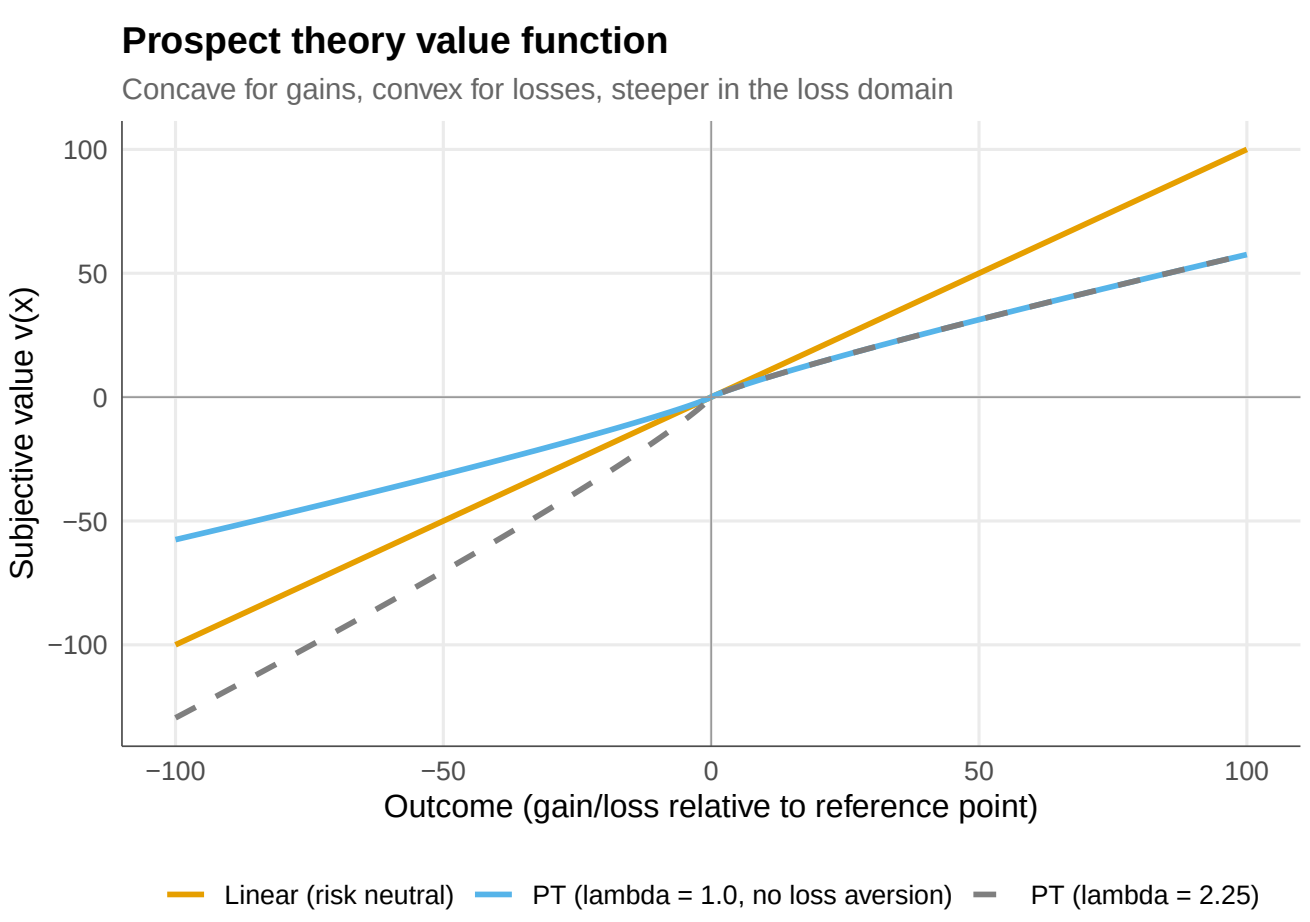
Prospect theory value function
Concave for gains, convex for losses, steeper in the loss domain
Subjective value v(x)
100
50
0
−50
−100
−100
−50
0
50
100
Outcome (gain/loss relative to reference point)
Linear (risk neutral)
PT (lambda = 1.0, no loss aversion)
PT (lambda = 2.25)